reported cases exceeding 4 lakh for a few days and over 1 lakh a day for about two months. India's reported cases crossed 30 million by the middle of June 2021. There was also a massive number of deaths. At its peak in the second fortnight of April and first fortnight of May, India witnessed a massive health crisis with hospitals running out of beds, oxygen and medicines.

The second wave kept most state administrations apprehensive about the third wave and infections rising in case of a liberal opening. This kept economic activity subdued until July–August 2021. Most economic indicators suggested recovery beyond the pre-COVID levels from September onwards. Growth projections for the financial year were, however, scaled down by all institutions and analysts to 9–10 per cent.

The $5 Trillion Goal Slips Further Away

India's goal to become a $5 trillion economy was first officially stated by Prime Minister Narendra Modi at a meeting of the National Development Council (NDC) on 15 June 2019. The target date to achieve this goal was mentioned as 2024 in the documents presented to NDC. In Budget 2019–20, however, the government, after necessary calculations of the achievable but ambitious growth trajectory, formally announced FY 2025 as the target date for making India a $5 trillion economy.

The GDP for 2018–19 was estimated at Rs 190.10 lakh crore in the provisional estimates released on 31 May 2019. As the exchange rate was Rs 69.55 to a dollar on 31 March 2019, India's GDP in dollar terms for financial year 2018–19 was $2.73 trillion. Increasing this to $5 trillion required India to grow its GDP by $2.27 trillion in six financial years. Assuming the exchange rate remained unchanged, this would have required a compounded nominal annual rate of growth of 11 per cent for the six years till 2024–25.